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CABINET

JAPANESE PEACE TREATY

CHINESE PARTICIPATION AND DISPOSAL OF FORMOSA

Memorandum by the Secretary of State for Foreign Affairs

I. CHINESE PARTICIPATION

Views of His Majesty's Government

On 2nd January the Cabinet approved a paper containing the following recommendation: "It is desirable that at an appropriate stage, before the formal peace conference is called, an invitation to take part in the Peace Treaty negotiations should be extended to the Central People's Government of China. An approach in this sense to the United States Government at present would be inopportune, but the importance of doing so in the future should be borne in mind." (C. M. (51) 1st Conclusions, Minute 4).

Views of United States Government

2. In discussion with Sir A. Gascoigne in Tokyo on 29th January, Mr. Dulles said that it would be difficult for the United States Government to exclude Nationalist China as a signatory, and equally difficult for the United Kingdom Government to be a co-signstory with Nationalist China to the exclusion of the Communist regime; Mr. Dulles added that he was thinking on the lines of getting over these obstacles by means of a series of identical bilateral agreements with Japan rather than by a multilateral Treaty. On his return to Washington after his tour, he again raised the subject in conversation with H. M. Ambassador and simply said that he would much welcome any suggestion which we might wish to make.

The present situation

3. In view of this invitation from Mr. Dulles, and of the present tempo of the Peace Treaty discussions, (we informed the United States Government officially of our views about the substance of the Treaty on 12th March and hope to let them have an unofficial working draft this month) I suggest that a decision on our approach to the United States Government about Chinese participation is needed now, in order to enable us to get our views in before the United States Government male up their minds.

4. Since the Cabinet decision referred to in paragraph 1 was taken, the situation has changed in that the United Nations General Assembly have declared the Central People's Government an aggressor in Korea. It is for consideration whether this development cal ls for any modification of the Cabinet's decision. On the whole, in present circumstances, I consider that it does not. The policy of His Majesty's Government in regard to the Korean hostilities is based on the conception of leaving the

door open for a negotiated settlement with the Central People's Government. It would be consistent with that policy for us to record our view that the Central People's Government should participate in the negotiations for a Japanese Peace Settlement. The point is that China as a State ought to participate and it is the Central People's Government which in fact represents China. H.M. Embassy at Washington, who have been consulted, have not suggested that our approach to the United States Government should be modified in view of recent developments. In view of these considerations, I recommend that, provided the general development of the Far Eastern situation in the immediate future permits, appropriate representations should be made as soon as possible.

Suggested action

5. It is however clear, both on general grounds and from specific warnings by H.M. Embassy at Washington, that there is no likelihood whatever of the United States Government agreeing with our view on this point. We should have no illusions on that score. After we have gone on record with the United States Government in favour of an invitation to the Central People's Government, the practical problem will still remain of what to do next. We must accordingly look ahead, past the expected United States refusal, and try to think out a constructive compromise solution which we could put to the United States Government simultaneously with the rest of our approach on Chinese participation, in order if we can to prevent them from going ahead on their own with Mr. Dulles' idea of identical bilateral treaties or some other unpalatable solution.

6. If the United States Government cannot agree to sign a treaty together with the Chinese Communists, nor can we agree to sign one together with the Nationalists. The solution accordingly may be something on the following lines. We should aim at a multilateral treaty, but, given the dispute between the other signatories about the "two Chinas", we should agree that neither "China" should sign the Treaty with the rest of us, bat that, having regard to the desirability of awaiting a more general measure of agreement on disputed questions in the Far East, provision should be made in an accession clause for "China" to accede once unanimity had been achieved among the other signatories on the recognition problem (or some other formula with a similar suspensory effect). We could not agree to the Chinese Nationalists being allowed to sign the Treaty. Apart from other considerations, this would allow the Japanese to claim, at a later date, that we had prejudiced their relations with the mainland of China by allowing the Chinese Nationalists to take part in the Peace Settlement at a time when the Japanese themselves were in no position to express their own view. If, however, after the signature of the Peace Treaty, and quite apart from the arrangements provided for in its accession clause, the Japanese themselves wished to conclude a bilateral agreement with one "China" or the other, that would be their affair and their responsibility.

7. This is clearly not an ideal compromise from our point of view, and even so it may prove most difficult to persuade the Americans to accept it. One argument which they will probably male play with is the fact that the Chinese Nationalists still represent China on the Far Eastern Commission. If necessary, we could counter this by maintaining that the Far Eastern Commission, as an entity, should be regarded as having nothing to do with the task of preparing a Peace Treaty. Our interpretation of the Commission's terms of reference bears this out, and also the Commission does not include Ceylon and Indonesia, both Powers which were very much

concerned with the war against Japan. We should hope on these lines to be able, in the context of the Peace Treaty, to minimise the importance of the fact that Nationalist China is on the Far Eastern Commission.

II. DISPOSAL OF FORMOSA

8. While the question of Chinese participation in the Treaty is one of procedure, the problem of Formosa relates to the text of the Treaty itself. In view of the strong political connection between the two questions, however, it is appropriate that they should both be considered together. By way of a background I have annexed the extracts from the Cairo Declaration and the Potsdam Proclamation relating to the disposal of Formosa and the Pescadores Islands. (For purposes of this paper I will use the term "Formosa" to include the Pescadores Islands.)

Views of His Majesty's Government

9. In January, 1951, the Cabinet agreed that the decision of the United Nations or any other agreed decision on the future status of Formosa and the Pescadores Islands should, if possible, be incorporated in the Treaty (C.P.(50) 323, paragraph 8(b)(iv); C.M.(51) 1st Conclusions, Minute 4).

Views of United States Government

10. Mr. Dulles told Sir A. Gascoigne on 29th January that the United States Government had done a lot of thinking on this subject, but had found nothing more constructive at present than to require Japan to accept the present situation, and they were hard put to it to define what that was with exactitude. Mr. Dulles said that he would be extremely responsive to any suggestion from His Majesty's Government as to how to control this delicate and difficult question. We all agreed, he said, that Japan should renounce her own right, title and interest to Formosa, but how to go beyond that was obscure to him.

Possible courses of action

11. It appears that there are three possible courses in regard to Formosa:-

(a) For Japan to renounce her sovereignty and cede Formosa to 'China" without specifying further what this means. This has the advantage of being in accordance with the Cairo Declaration and the Potsdam Proclamation, but might be difficult to defend against charges that it is an over-facile way of shelving the problem without making any attempt to adjust it to present conditions. It would, however, be technically quite possible since it would follow that whatever Government was the true Government of China was entitled to administer Formosa.

(b) As a variation of (a), Japan could renounce her sovereignty and cede Formoss to "China", but with a rider, not necessarily in the text of the Treaty, but perhaps in some accompanying document or public declaration to the effect that, the signatories not being agreed on the interpretation of "China", and having regard to the desirability of awaiting a more general measure of agreement on disputed questions in the Far East, this clause did not prejudice the question of what Chinese authority was entitled to exercise sovereignty over Formosa, as to which the signatories reserved their respective positions and liberty of action. This formula could be linked up with that used on Chinese accession (paragraph 6 above).

(c) Japan could renounce her sovereignty without specifically ceding Formosa to China or to any other Power. This appears to be what Mr. Dulles has in mind, but it would be open to the objections, first, of not being in accordance with the Cairo Declaration or the Potsdam Proclamation, and secondly, of allowing Formosa to become a res nullius until its future sovereignty could be established.

12. On the whole, I prefer solution (b). The fact is that the Formosan issue looks like bedevilling the Far Eastern policies of His Majesty's Government and the United States Government for as far ahead as can be foreseen. We cannot be expected to find a formula in the Treaty which will conjure this situation away. What is needed is something which corresponds to the facts, is consistent with the Cairo Declaration and the Potsdam Proclamation, but shelves the issue and leaves the hands of the signatories as free as possible to meet any eventual changes in the general Far Eastern situation.

III. RECOMMENDATIONS

13. (a) That as regards Chinese participation we should as soon as possible formally record our view with the United States Government that the Central People's Government should be invited to participate in the Treaty negotiations, and add unofficially that in the probable event of China refusing we would suggest the compromise solution of a multilateral treaty to be signed by neither "China" but with an accession clause for the later accession of "China" in certain specified circumstances, which would be related to the desirability of a general Far Eastern settlement.

(b) That as regards Formosa we should suggest to the United States Government unofficially that Japan should renounce her sovereignty and cede Formosa to China, with an explanatory rider also referring to the desirability of a general settlement in the Far East and reserving meanwhile the respective positions of the signatories on the interpretation of this provision.

(c) That in view of the inter-relation of the two problems, the approaches referred to in (a) and (b) above should be made simultaneously.

H. M.

Foreign Office, S. W. 1.,

20TH MARCH, 1951.

ANNEX

Allied Policy on the Future of Formosa

1. Extract from the Cairo Declaration of 1st December, 1943

"The three great Allies are fighting this war to restrain and punish the aggression of Japan,.... It is their purpose that Japan shall be stripped of all the islands in the Pacific which she has seized or occupied since the beginning of the first world war in 1914, and that all the territories that Japan has stolen from the Chinese, such as Manchuria, Formosa and the Pescadores shall be restored to the Republic of China."

2. Article 8 of the Potsdam Proclamation of 26th July, 1945

"The terms of the Cairo Declaration shall be carried out and Japanese sovereignty shall be limited to the islands of Honshu, Hokkaido, Kyushu, Shikoku and such minor islands as we determine."